Project MarginSpring

Wipro utilisation and operating margin: Project Charter (D1)

Charter at a glance

Project	Project MarginSpring: Wipro utilisation and operating margin
Course context	ANCP, Module 1 (problem framing), deliverable D1
Team	Team J: Abhiroop Ghosh, James Mathew, Ashutosh Mishra. Guide: Nikhil D Jonathan
Core problem	Wipro's IT services operating margin fell to 16.0% in Q1 FY27 and is 16.5% in Q2 FY27, below management's 17–17.5% target band. Utilisation is also below its recent peak.
Decision it informs	Whether, and by how much, Wipro should shorten its bench window (180 days for Band 2 and below since October 1, 2026) to recover margin.
Question we answer	How many utilisation points must Wipro regain to reach 17–17.5%, and has a tighter bench rule delivered such gains elsewhere (TCS, June 2025)?
Success measure	Required-uplift figures with ranges, built only from published data (Section 2).
Data	100% public: results, fact sheets, filings, earnings-call statements. No simulated, proxy or personal data.
Plan	Four 2-week sprints, 8 weeks.

1. Problem statement

Wipro's IT services operating margin fell to 16.0% in Q1 FY27 and partly recovered to 16.5% in Q2 FY27, against a management target band of 17–17.5%. Utilisation is 83.6% versus a 86.4% peak. Wipro has just set a 180-day bench window for Band 2 and below. This project determines how many utilisation points Wipro must regain to return to its target band, using margin-per-utilisation-point evidence disclosed by Indian IT firms, and tests whether TCS's June 2025 tighter bench rule delivered such an uplift.

Why it matters

- Employee compensation is the main component of Wipro's cost of revenues (FY2026 Form 20-F), so idle paid capacity weighs directly on margin.
- Management names bench utilisation as a margin lever and aims to return to 17–17.5% without giving a timeline (Q1 FY27 call).
- Wipro revised its bench policy from October 1, 2026: up to 180 days for Band 2 and below, with 45 days for Band 3 and above.
- Public data cannot show the effect of window length directly. The project therefore measures what a utilisation point is worth in margin and works backwards to the uplift needed.

Ideal outcome

The COO and CFO get one clear number: the utilisation points Wipro must regain to reach 17.0% and 17.5% margin, with a range, plus evidence on whether a tighter bench rule has delivered such gains at TCS. Wipro's leaders can then judge whether a shorter window can deliver that uplift.

Where Wipro stands today

Quarter	IT services operating margin	Utilisation (excluding trainees)
Q1 FY26	17.3%	85.0%
Q2 FY26	16.7% (17.2% excluding a one-time customer-bankruptcy provision)	86.4%
Q3 FY26	17.6%	83.1%
Q4 FY26	17.3%	83.5%
Q1 FY27	16.0%	83.6%
Q2 FY27	16.5%	To be taken from the fact sheet (not in the press release)

Sources: Wipro quarterly press releases and fact sheets, and press reports of results (see Literature review for links). In Q1 FY27 margin fell 130 bps while utilisation edged up, so utilisation is not the only driver; wage hikes, deal ramp-ups and one-offs also matter.

2. Success metrics

Targets are proposed and need guide approval. The evidence count target is set after the week-1 coverage check.

Type	Metric	Target
Business	Required utilisation uplift to reach 17.0% and 17.5% margin	Both figures delivered, each with a range from the collected evidence
Business	TCS before/after reference result (June 2025 bench cap)	Reported with its limits, including TCS's later bench rebuild
Evidence	Margin-walk statements collected (management-stated bps from utilisation)	Proposed: at least 15 firm-quarters across at least 4 firms
Evidence	Cross-check by simple regression on reported figures	Estimate falls inside the margin-walk range, or the gap is explained
Data	Firm-quarters harmonised for utilisation (firms that report it)	At least 90%
Data	Inputs traceable to a published source	100%, with zero assumed or proxy inputs
Model	Any ML model, if tried	At least 10% lower out-of-sample error than the best simple baseline; otherwise the report says simple rules suffice

3. Data plan: what data we are taking

Firms: Wipro, TCS, Infosys, HCLTech, Tech Mahindra, LTIMindtree. A firm that does not report utilisation is used for margin and headcount analysis only.

Dataset	What it contains	Source	Size
1. Financial panel	IT services operating margin, revenue and constant-currency growth, employee cost, bookings	Quarterly results, fact sheets, annual reports, Form 20-F	6 firms x about 40 quarters
2. Capacity panel	Utilisation (with and without trainees), headcount, attrition, fresher additions	Quarterly fact sheets and results presentations	Same panel; coverage varies by firm

Dataset	What it contains	Source	Size
3. Margin walks	Management statements of how many bps of margin utilisation, wage hikes and other drivers moved	Earnings-call transcripts and investor presentations	As many as are published; counted in week 1
4. Policy facts	Wipro's 180-day window (from October 1, 2026); TCS 35-business-day cap (from June 12, 2025)	Company statements and news reports	2 events
5. Context	USD/INR quarterly average; wage-hike timing; one-off items	RBI/FBIL, earnings calls, press releases	About 40 quarters

Data rules

- Every input is published by a company or public body. If a number is not published, it is not used.
- D2 logs source, date accessed and licence terms for each input.
- Use originally reported figures and log restatements. Cross-check each figure against two sources.
- Transcripts are used for analysis only and quoted sparingly. No employee, client or personal data is collected.

How we use the data

1. Read the margin value of utilisation from management statements: bps per utilisation point, with a range and a count.
2. Cross-check with a simple regression on reported utilisation and margin, controlling for wage-hike quarters and one-offs.
3. Compare TCS's reported utilisation and margin before and after June 2025 against its peers.
4. Compute the utilisation uplift Wipro needs to reach 17.0% and 17.5%.

Machine learning is tried only if it beats the best simple baseline by 10%.

4. Timeline

Sprint	Weeks	Work	Deliverables
1. Data setup	1 to 2	Definitions sheet, source log, financial and capacity panels, start margin-walk and transcript collection, week-1 coverage check	D1, D2
2. EDA and first estimates	3 to 4	Utilisation and margin patterns, peer gaps, TCS before/after view, start margin-per-point estimate	D3, D4 (started)
3. Estimate and evaluate	5 to 6	Regression cross-check, required-uplift figures with ranges, limits and checks	D4, D5

5. Deliverables and owners

Deliverable	Lead owner	Week	What it contains
D1: Project charter and scope alignment	Abhiroop Ghosh	1	This charter; guide approval of the reframed problem statement
D2: Data ingestion and governance plan	James Mathew	1 to 2	Source log, harmonisation sheet, financial and capacity panels, margin-walk and transcript collection
D3: Hypothesis-driven EDA	James Mathew	3	Utilisation and margin patterns, peer gaps, TCS before/after view
D4: Modelling checkpoint and logs	Abhiroop Ghosh	4 to 5	Margin-per-utilisation-point estimate from margin walks, regression cross-check, experiment log
D5: Evaluation memo	Ashutosh Mishra	6	Required uplift for 17.0% and 17.5%, ranges, limits, checklist of data issues
D6: Deployment and monitoring blueprint	Ashutosh Mishra	7	How to track Wipro's first post-policy results (Q3 FY27, due about January 2027) and refresh the estimate each quarter
D7: Final report and model card	Abhiroop, James, Ashutosh	8	Findings, limits, dry-run presentation

6. Stakeholders

Name	Role	Strategy	What they need
Srini Pallia	CEO and Managing Director (appointed April 2024)	Manage closely	A credible margin recovery path
Aparna Iyer	Chief Financial Officer	Manage closely	Margin value per utilisation point
Sanjeev Jain	Chief Operating Officer; oversees Global Business Operations	Manage closely	Utilisation target for delivery teams
Saurabh Govil	Chief Human Resource Officer	Manage closely	Evidence for the bench window and hiring policy
Hari Shetty	Chief Strategist and Technology Officer	Keep informed	Strategic context for the margin target
Harpreet Singh Saluja	President, NITES (IT employees union), which filed a Labour Ministry complaint on TCS's bench policy	Keep informed	Fair treatment of benched employees
Piyush Pandey, Vikas Ahuja, Kawaljeet Saluja	Analysts at Centrum, Antique and Kotak	Keep informed	External evidence on Wipro's margin outlook

7. Literature review

Gap. A quick search (two queries) found no peer-reviewed study linking bench policy or utilisation directly to operating margin in Indian IT firms. Before submission, search Google Scholar or the XIME library with terms such as "utilization", "IT services", "profitability" and "bench". This project fills the gap with company-disclosed data.

A. Why firms keep idle staff

Sbordone (1996), "Cyclical productivity in a model of labor hoarding", Journal of Monetary Economics 38, 331–361

What it says: Adjusting labour is costly, so firms keep workers through downturns. **How we use it:** Frames the bench as labour hoarding with a cost and a benefit.
Link: https://www.newyorkfed.org/medialibrary/media/research/economists/sbordone/JME96paper.pdf

Rotemberg and Summers, "Labor Hoarding, Inflexible Prices, and Procyclical Productivity", NBER Working Paper w2591

What it says: Measured productivity is more procyclical where labour hoarding is more important. **How we use it:** Supports linking utilisation to measured productivity and margin.
Link: https://causalclaims.trfetzer.com/paper/w2591.html

ECB Economic Bulletin (2024), box on labour hoarding

What it says: Hoarding is rational when redundancy, rehiring and training costs exceed retention costs; falling profit margins reduce the scope to hoard. **How we use it:** Names the trade-off behind a shorter bench window.
Link: https://www.ecb.europa.eu/press/economic-bulletin/focus/2024/html/ecb.ebbox202404_03~c65ab9309a.en.html

B. Company disclosures (the margin-walk evidence)

Infosys Form 6-K, earnings call (2020)

What it says: Management attributed 80 bps of margin gain to a 2.4% increase in utilisation. **How we use it:** Template for the margin-walk dataset and the first data point.
Link: https://www.sec.gov/Archives/edgar/data/1067491/000106749120000072/exv99w05.htm

Business Standard (July 2025), HCLTech Q1 FY26 results

What it says: Margin fell 160 bps; lower utilisation accounted for 80 bps. **How we use it:** Second margin-walk data point, in the other direction.
Link: https://www.business-standard.com/markets/news/hcltech-sees-rating-downgrade-post-q1-results-guidance-disappointment-125071501441_1.html

Wipro Q1 FY27 earnings call transcript (July 2026)

What it says: Margin was 16.0%, with salary increases, large-deal ramp-up and AI investments cited; the CFO aims to return to 17–17.5% without a timeline. **How we use it:** Source of the target band and Wipro's stated drivers.
Link: https://www.webull.com/news/15239831956513792

Wipro Q2 FY27 press release (October 15, 2026)

What it says: IT services margin was 16.5%, up 0.5 points sequentially and down 0.2 points year on year. **How we use it:** Latest reported margin; utilisation to be added from the fact sheet.
Link: https://www.wipro.com/newsroom/press-releases/2026/wipro-announces-results-for-the-quarter-ended-september-30-2026/

Wipro Form 20-F for FY2026

What it says: Breaks down cost of revenues; employee compensation is the main line. **How we use it:** Cost structure for the financial panel.
Link: https://www.sec.gov/Archives/edgar/data/0001123799/000119312526253514/wit-20260331.htm

D. Bench policies and reactions

Sharma and Pandey, case W46296: TCS's bench policy

What it says: Describes TCS's 225-billable-day rule, the 35-business-day cap and the options the company faced. **How we use it:** Background for the TCS before/after comparison.
Link: https://download.iese.edu/W46296_pcu-009f3e02-2200-432c-87a2-93e1ac31b4a7.pdf

Outlook Business, TCS caps bench time at 35 days

What it says: Reports the policy and cites industry data that bench sizes shrank to 2–5% of headcount, which conflicts with other estimates. **How we use it:** Policy reference. Treat bench-size claims with caution.
Link: https://www.outlookbusiness.com/corporate/tcs-caps-bench-time-at-35-days-under-new-deployment-policy

Sightsinplus (October 2026), TCS builds higher bench despite 2025 policy

What it says: At its Q2 FY27 call, TCS's CFO said it had invested in a higher bench and more subcontractors. **How we use it:** Counter-evidence: a tight policy does not guarantee a low bench.

Link: https://www.sightsinplus.com/news/industry-news/tcs-builds-higher-bench-increases-subcontracting-despite-2025-bench-policy/

Sightsinplus (October 2026), Wipro's revised bench policy

What it says: Band 2 and below can stay up to 180 days without a billable project from October 1, 2026; Band 3 and above keep 45 days. **How we use it:** Defines Wipro's current policy.

Link: https://www.sightsinplus.com/news/industry-news/wipro-gives-employees-six-months-to-find-new-projects-revised-bench-policy/

Storyboard18 (July 2025), NITES complaint on TCS's bench policy

What it says: The IT employees union filed a complaint with the Ministry of Labour and Employment. **How we use it:** Shows the labour-relations risk of a shorter window.

Link: https://www.storyboard18.com/how-it-works/tcs-under-fire-for-new-bench-policy-nites-alleges-forced-exits-salary-refund-demands-75206.htm